

Taiwan: Navigating oil price shocks

We maintain our 2026 GDP growth forecast of 7.0%, while seeing upside risks to our inflation forecast of 1.5%.

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Nearly all thermal fuel inputs are imported. Net fuel imports accounted for around 4% of nominal GDP in 2025, among the highest ratios in Asia, leaving the economy sensitive to sustained increases in global energy prices and shipping costs.

Taiwan sources roughly 70% of its crude oil from the Middle East—particularly Saudi Arabia, Kuwait, and the UAE—and **about 30% of its LNG from Qatar**. A prolonged disruption in Hormuz would tighten supply and raise costs, although strategic reserves and diversified suppliers reduce the risk of severe shortages.

Higher input costs would raise electricity tariffs and production costs, particularly for energy-intensive sectors such as petrochemicals, steel, and semiconductor fabrication. Households would face higher energy bills, although government subsidies and ongoing wage growth

should help cushion the impact.

Trade exposure

Taiwan's direct export exposure to the Middle East is minimal, accounting for less than 1% of total exports in 2025. Europe accounts for around 6%, suggesting that shipping disruptions in the Red Sea or Suez Canal would have only a limited first-round impact on trade volumes.

The larger risk comes from second-order effects of higher global energy costs. Elevated oil prices act as a tax on consumption, reducing household purchasing power in key markets such as the US and Europe. This could dampen demand for consumer electronics, PCs, and smartphones. **However, structural technology trends continue to support Taiwan's exports.** AI-related investment, data centers, and industrial policy-driven growth provide a cushion, helping offset a slowdown in traditional electronics exports.

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Financial markets remain another channel of adjustment. Taiwan's equity valuations are high, with total market capitalization of the TWSE exceeding 300% of nominal GDP. Heightened geopolitical risks may prompt global investors to reduce exposure to high-beta markets. Still, strong corporate earnings and technology sector growth provide resilience, helping the market absorb shocks without destabilizing the broader economy.

Click [here](#) to read the full report.



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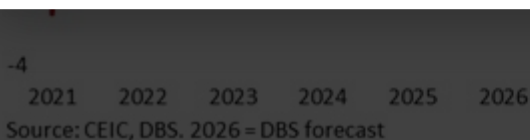


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